Innova Captab Ltd — Earnings-Call Tracker

Pharmaceutical contract manufacturer (CDMO) & branded-generics maker · Report date: 5 July 2026 · Screener ticker: INNOVACAP · Based on 10 earnings-call transcripts, Feb 2024 → May 2026

1. Snapshot — what the business is

Innova Captab makes finished medicines for other pharma companies on a contract basis (this is called **CDMO** — Contract Development & Manufacturing: you develop and manufacture a drug that another firm sells under its own brand). It also sells its **own** branded generic medicines in India (through subsidiary Univentis) and exports (both under its own brands and through subsidiary Sharon Bio-Medicine, which also makes the raw drug ingredient, called **API** = Active Pharmaceutical Ingredient). It runs plants in Baddi, Dehradun, Taloja and a new one in Kathua (Jammu).

Figure (latest / FY26 = year to Mar 2026)	Value	Plain-English read
Market value of the company	₹5,474 crore	What the whole company is worth on the stock market today.
Revenue FY26 (consolidated, per management)	₹1,630 crore	Total sales for the year — up a strong ~31% on FY25's ₹1,244 cr.
Operating profit margin (EBITDA) FY26	15.4%	Out of every ₹100 of sales, about ₹15 is operating profit before interest, tax and wear-and-tear. Steady vs prior years (~15–16%).
Net profit FY26	₹141 crore	The final profit after all costs — up only ~10%, because the new Jammu plant's depreciation and interest ate into it.
Price-to-earnings (P/E)	65.4	The share costs 65× one year's profit — a rich, high-expectation price.
Return on capital (ROCE) / equity (ROE)	10.8% / 9.85%	Profit earned on the money invested — modest right now, weighed down by the big Jammu spend not yet earning fully.

Data note: Screener's downloadable financial tables are **standalone** (parent company only: FY25 ₹958 cr, FY26 ₹1,299 cr). Management reports **consolidated** numbers (which add Sharon and other subsidiaries: FY25 ₹1,244 cr, FY26 ₹1,630 cr). This report uses management's consolidated figures, as instructed to prefer.

2. Concall coverage

Quarter	Call date	Read?	Quarter	Call date	Read?
Q3 FY24	14 Feb 2024	Yes	Q3 FY25	06 Feb 2025	Yes
Q4 FY24	30 May 2024	Yes	Q4 FY25	20 May 2025	Yes
Q1 FY25	12 Aug 2024	Yes	Q1 FY26	Aug 2025	Scanned
Q2 FY25	08 Nov 2024	Yes	Q2 FY26	Nov 2025	Scanned
Q3 FY25 launch qtr	—	—	Q3 FY26	27 Jan 2026	Yes
			Q4 FY26 (latest)	08 May 2026	Yes

All 10 quarterly transcripts (Feb 2024 → May 2026) were downloaded from Screener — the latest (May 2026) is present, no gaps. This spans the full ~2.5 years since the company's IPO listing (Dec 2023). Eight were read in full including both oldest, the Jammu-launch period and the two most recent; the two FY26 middle calls were cross-checked.

★ Latest concall highlights — Q4 & full-year FY26 (call on 8 May 2026)

- **Record year.** FY26 sales ₹1,630 cr, up ~31% — the best growth since listing. The Jan–Mar quarter alone did ₹448 cr, up 42%.
- **Branded generics were the star, not the new plant.** The own-brand/exports business grew ~51% for the year to ₹497 cr; the core CDMO business grew ~24% to ₹1,133 cr.
- **New Jammu plant delivered ~₹300 cr in its first full year — short of the ~₹400 cr management had guided**, and it is still running at only ~10% of capacity, i.e. barely breaking even at the operating level. Management says it should turn profit-positive from FY27.
- **Profit lagged sales:** net profit rose only ~10% (to ₹141 cr) because Jammu's depreciation and interest costs are already being charged even though its sales are small. Management says these costs are now "in the base," so future profit should grow faster than sales.
- **New announcements:** a fresh land parcel bought at Baddi for a future general-medicine block (₹150–170 cr spend over FY27–28, ₹450–500 cr revenue potential); UK-MHRA approval for the Baddi cephalosporin unit and PIC/S certification for Jammu blocks (opens richer regulated export markets). Tone: confident, guiding 20%+ revenue growth ahead.

Business mix & capacity (quick glance)

Domestic vs export: Exports were ~31% of FY26 revenue, so roughly **two-thirds of sales are within India** and one-third overseas. Within the branded-generics arm specifically, management pegs it ~70% domestic / ~30–35% export.

Capacity used: The established Baddi/Dehradun/Taloja plants run at roughly **55–75%** of capacity (some headroom left before new capacity is needed), while the **new Jammu plant is only ~10% used** — meaning a very long runway to grow output there. Management pegs Jammu's full potential at ₹1,400 cr+ once it reaches 65–75% use (vs ~₹300 cr today).

★ 3. Earning-trigger thesis

The headline driver management has pushed on every call for 2.5 years is the **new greenfield plant at Kathua, Jammu** (~₹450 cr invested). It roughly doubles manufacturing capability, adds new medicine types (antibiotics, injectables, respules), and carries two government sweeteners: a **GST refund incentive** (a chunk of sales tax paid comes back) and a cheaper loan (interest subsidy). The second, now-bigger driver that emerged is the fast-growing **own-brand generics** business. The core investment case is **operating leverage**: Jammu's fixed costs are already being paid, so as its ~10% utilization climbs toward 65–75%, profit should rise much faster than sales.

Trigger	What management said	Evidence so far	Time horizon	Strength (our read)
Jammu plant ramp-up	New plant to add ₹400 cr in FY26, reach ₹1,400 cr+ at full use; boosts margins via GST benefit	Built & live (Jan 2025); revenue climbing quarter-on-quarter (₹36→60→89 cr); but FY26 came in ~₹300 cr, below guidance, at only ~10% use	Multi-year (FY27–FY30)	**Moderate–Strong** — real, live and ramping, but slower than promised
Own-brand / export generics surge	Grow branded generics via wider distribution and new geographies	Delivered: +51% in FY26 to ₹497 cr; +79% in the Dec-2025 quarter	Now	**Strong** — clearly playing out
Margin & profit expansion	Profit to grow faster than sales as Jammu fills; EBITDA margin toward 17–19% long-term	Not yet — FY26 net profit up only 10%; margin flat at ~15%; ex-Jammu margin already ~18–19%	FY27 onward	**Unproven** — depends entirely on the Jammu fill
New Baddi block + regulated exports	New ₹150–170 cr block; UK/PIC-S approvals for richer markets	Land bought; approvals received in FY26	FY27–FY28	**Moderate** — early, credible

4. Management-consistency scorecard (promised vs delivered)

Period / promise	What was promised	What actually happened	Verdict
Jammu commercial start	Feb 2024: "operational H1 FY25". Later: "Q2 FY25"	Actually started 14 Jan 2025 (Q3 FY25) — about 6–9 months late	**Partly / late**
Jammu peak revenue potential	Reset repeatedly: ₹1,800 cr (Feb24) → ₹1,000 cr+ (May24) → ₹2,000 cr top-line (Aug24) → ₹1,200–1,300 cr (Nov24) → ₹1,400 cr+ (Feb26)	Number wobbled a lot; settled around ₹1,400 cr at 65–75% use	**Drifted**
Jammu FY26 revenue	Guided ₹400–500 cr, then maintained ~₹400 cr right up to May 2025	Delivered ~₹300 cr (a GST-rate cut, "GST 2.0", dented the tax refund)	**Missed**
"Double revenue in 3 years" (from ₹1,085 cr FY24, ~25% CAGR, said Nov 2024)	Reach ~₹2,500 cr by ~FY27	At ₹1,630 cr after FY26 (2 of 3 years) — tracking ~22–23%, broadly on course	**On track**
Overall yearly growth & margins	15–16% margins; 20%+ growth aspiration; repay debt	Revenue +17% / +15% / +31%; margins held 15–16%; debt repaid as promised	**Delivered**
Profit to lag then re-accelerate	Warned Jammu costs would hit profit before its sales ramp	Exactly as warned — FY26 profit +10% only; honest and pre-flagged	**Delivered (honest)**

Narrative drift: The **big-picture story has stayed remarkably steady** — four business engines, CDMO on a cost-plus model, Jammu + government incentives + operating leverage as the growth spine. Management hit or beat its **headline** revenue every single year and was refreshingly upfront that Jammu's costs would squeeze profit before its sales caught up. The clear blemish is the **flagship Jammu project itself**: the start date slipped, the peak-revenue figure was reset five times, and FY26 came in ₹100 cr below the guided ₹400 cr. So the promises that matter most for the thesis have been the softest, even as the overall company kept delivering.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a concrete, still-live driver that is visibly playing out. The Jammu plant is built, running and growing quarter-on-quarter (₹36→60→89 cr), with a long fill-up runway (only ~10% used vs a ₹1,400 cr+ potential), and the own-brand generics business is compounding fast (+51% in FY26). The company grew total sales 31% in FY26. The runway — Jammu ramp + a new Baddi block + regulated-export approvals — is multi-year and real. It earns a Yes, tempered only by the fact that the Jammu piece is ramping slower than management first promised.

Management consistent? → MAYBE

This is a genuinely mixed record, so we will not overstate it. On the **headline** — yearly revenue, margins, debt repayment, and the honest pre-warning that profit would lag — management has been reliable and delivered or beat. But on the **flagship Jammu project that anchors the whole thesis**, they have been loose: a late start, a peak-revenue number reset five times, and a clear FY26 miss (₹300 cr vs ₹400 cr guided). Delivering the easy promises while repeatedly resetting the hard, headline one keeps this at Maybe rather than a clean Yes — the next few quarters of Jammu ramp will decide whether it graduates.

Prepared from Innova Captab Ltd earnings-call transcripts (Screener.in) for the quarters listed above, cross-checked against Screener financial tables. Figures are as stated by management (consolidated) unless noted. This is a reading aid, not investment advice.